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ECONOMIC SURVEYS

UNITED STATES

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS DECEMBER 1965

BASIC STATISTICS OF THE UNITED STATES

THE LAND

Area, Continental United States, plus Hawaii and Alaska (thousand sq.km.)	9,363

Population of major cities, including their metropolitan areas (1960):

New York	10,695,000
Chicago	6,221,000
Los Angeles - Long Beach	6,039,000

THE PEOPLE

Population (July 1965)	194,580,000
Number of inhabitants per sq.km.	21
Population, annual net natural increase (average 1960-64)	2,512,000
Net rate of annual increase per 1,000 inhabitants (average 1960-64)	14
Civilian labor force, 1964	76,233,000
Of which:	
Employed in agriculture	4,761,000
Net civilian immigration (annual average 1959-63)	347,000

PRODUCTION

Gross national product in 1964 (billions of U.S. dollars)	628.7
GNP per head (U.S. dollars)	3,272
Gross fixed capital formation: Per cent of GNP (average 1960-64)	17
Per head (U.S. dollars, average 1960-64)	507

Origin of net national product in 1964:

Agriculture, forestry and fishing	3 %
Manufacturing	30 %
Construction	5 %
Other	62 %

THE GOVERNMENT

Public consumption, 1964 (per cent of GNP)	19
Public construction activity, 1964 (per cent of GNP)	3
Current revenue of Federal, state and local governments, 1964 (per cent of GNP)	27
Federal Government debt as ratio of cash receipts from the public, 1964 (per cent)	271

Composition of the 88th Congress, 1964:

	House of Representatives	Senate
Democrats	255	67
Republicans	178	33
Vacant	2	—
Total	435	100

LIVING STANDARDS

Food consumption, calories per head per day, 1963	3,090
Consumption of energy per head 1962 (kilograms of coal equivalent)	8.26
Average hourly gross earnings in manufacturing, 1964 (U.S. dollars)	2.53
Number of passenger cars in use per 1,000 inhabitants, 1962	437
Number of telephones in use per 1,000 inhabitants, 1963	443

FOREIGN TRADE

Exports:

Exports of goods and services as per cent of GNP (average 1960-64)	5.5
Main exports 1964 (per cent of total merchandise exports):	
Machinery	24
Grains and grain products	10
Chemicals	9
Automobiles and parts	7
Cotton	3

Imports:

Imports of goods and services as per cent of GNP (average 1960-64)	4.4
Main imports 1964 (per cent of total merchandise imports):	
Petroleum and products	10
Coffee	6
Paper and paperboard	6
Non-ferrous metals	4
Automobiles and parts	4

ECONOMIC SURVEYS BY THE OECD

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UNITED STATES

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed :

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The Members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

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INTRODUCTION

The domestic expansion and, more recently, the balance of payments have both been responding strongly to policy measures. The economy has expanded fast since last year's tax cut, with a decline in the margin of unused resources, and the balance of payments improved considerably after the measures taken in February. With lower excise taxes, higher social security benefits, an increase in the Federal defence expenditure and a strong upward trend in business fixed investment, the expansion should continue at a high rate into 1966, although a turnaround from accumulation to liquidation of steel inventories will put a brake on the expansion, notably in the fourth quarter, and the Federal budget will become somewhat tighter in the first half of next year. The improvement of the foreign balance has to some extent been due to temporary factors, and there may still be some way to go before a satisfactory balance of payments can be said to have been achieved.

Part I of the present Survey reviews current trends in output and demand, costs and prices and the balance of payments. Part II considers how budgetary and monetary policies have been used to influence the domestic expansion and the balance of payments. Part III discusses major policy issues and the further measures that may be needed to deal with them.

I. CURRENT TRENDS

Demand

The expansion that began early in 1961 has now lasted for nearly five years-longer than any previous peacetime upturn. Some slowing-down in 1962 and early 1963 was followed by an acceleration in the second half of 1963 and 1964, when the gross national product rose by about 5 per cent a year in real terms. This acceleration was strongly influenced by the cut in personal and corporate taxes effected early in 1964, which stimulated consumer spending in particular. With the prospect of more buoyant demand and lower profit taxes, business fixed investment also rose faster than in the previous year. A significant increase in net exports contributed

Table 1. NATIONAL PRODUCT AND EXPENDITURE

Annual rates, seasonally adjusted

$ billion.

	1963	1964	1964				1965		
			I	II	III	IV	I	II	III
Gross National Product	589.2	628.7	614.0	624.2	634.8	641.1	656.4	665.9	676.9
Personal consumption expenditures	373.8	398.9	389.1	396.0	404.6	405.9	416.9	424.4	432.2
Gross private domestic fixed investment	81.2	88.1	86.5	86.8	88.8	90.2	93.7	94.4	95.7
— residential structures	26.9	27.5	28.4	27.9	27.2	26.7	27.7	28.0	27.6
— other structures	19.7	21.1	20.7	21.1	21.1	21.5	21.8	22.7	23.2
— producers' durable equipment	34.6	39.4	37.5	37.9	40.5	42.0	44.2	43.7	44.9
Change in business inventories	5.7	4.8	3.3	4.1	3.8	7.5	8.7	6.7	6.1
Government purchases of goods and services	122.6	128.4	126.3	129.7	128.7	128.6	130.9	132.9	135.1
— federal	64.4	65.3	65.0	67.0	64.9	64.3	64.9	65.9	67.3
— state and local	58.3	63.1	61.3	62.7	63.8	64.3	66.0	67.0	67.8
Net exports of goods and services	5.9	8.6	8.8	7.7	8.8	8.9	6.2	7.5	7.8
— exports of goods and services	32.4	37.0	36.3	36.0	37.3	38.4	34.8	39.8	40.3
— imports of goods and services	26.4	28.5	27.5	28.2	28.5	29.5	28.6	32.3	32.5

Source: Survey of Current Business, August and September 1965.

to the acceleration. Government purchases of goods and services, on the other hand, rose less rapidly than GNP.

The expansion has continued at a high rate in 1965. The pace of advance in the gross national product has been steady at somewhat more than $10 billion a quarter since the middle of 1963. The only marked deviations from this trend were the small rise of $6 billion in the last quarter of 1964 and the $15 billion increase in the first quarter of 1965. These movements reflected, primarily, the depressive effects of strikes in the automobile industry in the last months of 1964 and the subsequent rebound in auto production following the settlements. In the second and third quarters, the rise in GNP was about in line with the $10 billion-a-quarter trend because, on balance, temporary factors were of less importance. Net exports recovered from the low level in the first quarter caused by dock strikes, but this was more than offset by a normalisation of automobile sales and by some slowdown of the build-up of steel inventories against the possibility of a strike. Allowing for these short-term irregularities, the underlying trend of aggregate demand seems to have remained buoyant, with both retail sales and business fixed investment rising strongly. Purchases of goods and services by States and local authorities have continued to grow steadily, and Federal spending rose in the third quarter, after having shown a practically flat trend since mid-1963. Residential construction levelled out in 1964 and has remained on a plateau in the present year.

It is difficult to say what the movements are likely to turn out to have been in the final months of the year. But when the figures are available, the last quarter will probably prove to have been good. Steel de-stocking following the settlement in the steel industry reached in September has removed one source of buoyancy. The shift from accumulation to liquidation will have a considerable influence on the industries directly concerned, but the impact on the economy as a whole should be relatively moderate; the turnaround may represent about 0.4 per cent of a full year's GNP; the liquidation is likely to be strong in the last quarter of 1965 and will probably continue in the first half of next year. A rise in the number of housing starts (seasonally adjusted) in the second quarter was followed by a decline in the third quarter, so recent indicators may not yet point to an early recovery in residential construction. But other components of aggregate demand can be expected to continue to rise in the last quarter. Private consumption received a stimulus from cuts in excise taxes effected in June ($1.75 billion a year) and from higher social security benefits effective from 1st January 1965; the higher benefits were reflected in regular monthly payments for the first time in October at an annual rate of about $1.5-2 billion; retroactive payments of $885 million were also paid out in October. The August Survey of the Commerce Department and the Securities and Exchange Commission pointed to an increase in business fixed investment of 13.4 per cent between 1964 and 1965, implying an

upward revision of earlier investment plans and a further advance in the second half of the year. Government purchases are likely to continue to rise, mainly because of an increase in military expenditure; salaries of military personnel have recently been increased by about $1 billion a year, and $2.4 billion additional funds related to the war effort in Vietnam have been voted by Congress.

The expansion would seem likely to continue at a good rate in the first half of 1966. Social security contributions will be increased by $5 billion a year in January, but the resulting depressive effect on consumers' demand will be moderated by the fact that only about half will be paid by the employees. Moreover, the recent increase in social insurance benefits will still be lifting demand and a second cut in excise taxes will take effect in January. The National Industrial Conference Board's recent survey of capital appropriations by the 1,000 largest manufacturing firms pointed to a continued strong increase in business fixed investment in 1966. Firms increased their appropriations by 17 per cent in the second quarter, following an increase of 10 per cent in the first. While the outlook for defence expenditure is uncertain, additional defence outlays may add to the economic advance in the first half of 1966.

The prospects for a moderate rise in defence expenditure have clearly improved the outlook for continuing strong advance in economic activity; but, even in the absence of this, there was ample reason to believe that the economy would have continued to expand in the first half of 1966. Looking further ahead, stimulative measures of some sort — whether from defence or civilian expenditures or tax reduction — may be necessary to avoid an inappropriate slowdown. The U.S. Administration has stated its determination to maintain fiscal support for steady, well-balanced expansion, and this objective will guide the formulation of the Federal budget for 1966/67 which the President will submit to Congress in January; expenditure for new and continuing civilian programmes and any new proposals for tax legislation will be adjusted in the light of defence requirements to provide an appropriate overall fiscal policy.

It has been argued that higher defence spending might lead to excessive pressure on resources, endangering the stability of prices and labour costs. The danger of inflationary tendencies emerging in the near future would, however, seem to be small; although the margin of unused resources has become much smaller, there is still some slack that can be taken up, and both the labour force and productive capacity are growing fast.

Output and Employment

The acceleration of the expansion over the last eighteen months has reduced the margin of unused resources. The unemployment rate has fallen from well above 5 per cent in the first half of 1964 to 4.4 per cent

by September. This is still somewhat higher than the interim target of 4 per cent. Industrial production has risen by 7.5 per cent over the past year (to the third quarter), somewhat faster than the growth of industrial capacity (about 6 per cent); in manufacturing the average utilization rate rose from 88 per cent in the first half of 1964 to 90 per cent in the first half of 1965; the preferred rate of industry is generally taken to be 92 per cent. In overall terms, actual GNP in 1965 is likely to prove some $15 to 20 billion, or about 2 to 3 per cent, below the potential GNP as estimated by the Council of Economic Advisers.

With the labour force now rising by as much as 1.9 per cent a year, the potential growth of GNP is probably close to 4 per cent (or $27 billion) annually. In other words, there could be room for something like a 6 to 7 per cent increase in real GNP between 1965 and 1966, although such a very fast movement towards a full employment level of output within one year could give rise to bottleneck problems and price pressures in certain sectors. On the basis of present trends, the increase in real GNP between 1965 and 1966 would seem unlikely to exceed 5 per cent.

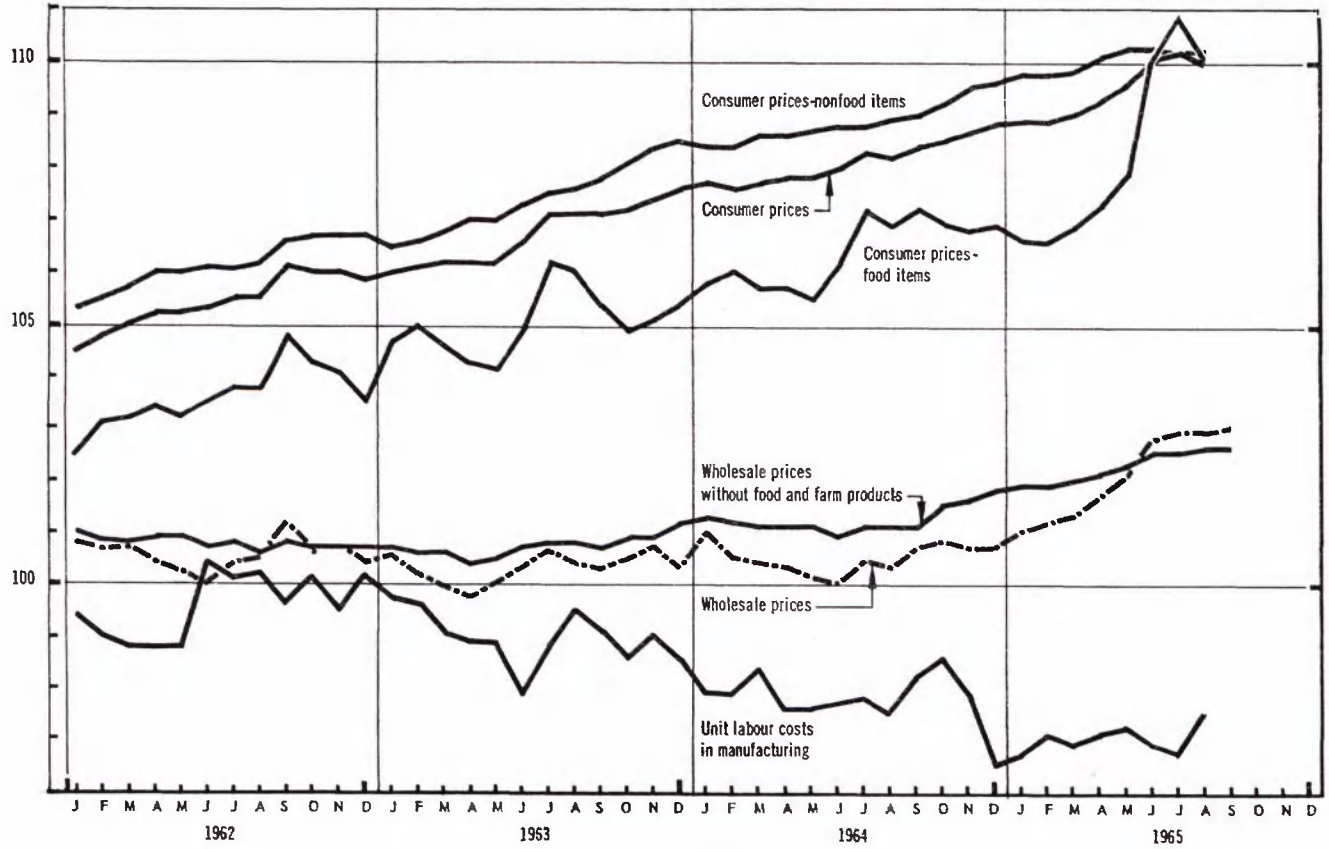
Prices and Costs

Although most indices of labour costs and prices remain relatively stable, or rising little, there are some indications that the upward pressure on prices is strengthening. The all-items consumer price index rose by 1.8 per cent in the twelve months ending last July, rather faster than the average annual rate of 1.3 per cent in recent years (1962 to 1964). About half the increase occurred in the second quarter, most of it in food prices partly caused by unfavourable weather conditions. Prices for consumer durables fell, mainly because of lower excise taxes. With some decline in food prices, the consumer price index fell somewhat in August to a level 1.7 per cent higher than a year earlier.

The wholesale price index, which had remained practically stable for several years, rose by 2.4 per cent over the twelve months up to September. Much of the increase was in food prices, and this is not expected to continue. Prices of raw materials have increased in line with the overall index, with the rise mainly affecting non-ferrous metals. The index of manufactures, excluding food, rose by 0.8 per cent over the year (to July); although faster than earlier, this is still a moderate increase.

Between August 1964 and August 1965 gross hourly earnings in manufacturing rose by 3.2 per cent; between the corresponding months of 1963 and 1964 the rise was 3.7 per cent. Collective bargaining contracts signed during the past year have shown considerable variation. In some industries — automobiles, cans, aerospace — the contracts resulted in increases exceeding somewhat the 3.2 per cent per year which, according to the Administration's guideposts, would be consistent with the preservation of

Diagram 1. **U.S. PRICE AND COST INDICES**
1957-59 = 100



price stability. But in several other industries, such as meatpacking, rubber, maritime trades, the new contracts fell within the standards of the guideposts. In September a final settlement was reached in the steel industry. Including the increases granted as of last May, the settlement entails an estimated increase in hourly wage costs of about 48 cents an hour[1] over a period of 39 months, or an annual increase of 3.2 per cent, i.e., in line with the Administration's guideposts. Unit labour costs in manufacturing, taking into account the rise in productivity, have been virtually stable over the last twelve months.

Balance of Payments

There are a number of methods whereby the U.S. balance of payments can be measured. The concept in most common use in recent years has been the balance on regular transactions. This, roughly, represents the balance on current and long-term account, plus the balance on certain short-term capital transactions; it excludes, however, any inflow of foreign liquid funds, and — as the term « regular » suggests — any special Government transactions (e.g., non-scheduled debt repayments, advances on military exports and sales of special U.S. Government securities). Both of these categories of transactions are excluded because they are regarded as a means of financing the deficit, rather than as transactions which reduce the size of the deficit to be financed. On this basis of regular transactions the deficit fell from $3.1 billion in 1964 to a seasonally adjusted annual rate of $1.3 billion in the first half of 1965; the second quarter showed a small surplus. On the basis of an alternative concept known as the balance settled by official transactions — which regards private capital inflows, whether short-term or long-term, as receipts which reduce the deficit to be financed — the deficit amounted to $1.5 billion in 1964 and fell to a seasonally adjusted annual rate of $0.8 billion in the first half of the present year.

The deficit had risen sharply towards the end of 1964 because of an increase in the net outflow of U.S. private capital. To reduce this outflow, the President announced a series of measures in February. The Interest Equalisation Tax (IET) was immediately extended to apply to bank loans to borrowers in developed countries (except loans to finance exports) with maturities of one year or more. Requests were made to Congress to extend the IET to the end of 1967, and to apply it to non-bank credits with a maturity of more than one year extended to borrowers of developed countries. The banks were requested to limit the increase in their outstanding credits to foreigners during 1965 to 5 per cent (about $500 million) compared with the end-1964 figure. Within the ceiling, priority was to be given to export credits and to loans to developing

1. Estimated by the Council of Economic Advisers.

TABLE 2. BALANCE

	AVERAGE 1953-57	1958	1959
Merchandise exports	15.2	16.3	16.3
Merchandise imports	11.8	13.0	15.3
Balance on merchandise trade	3.4	3.3	1.0
Military expenditures less sales	— 2.6	— 3.1	— 2.8
Income on investment, net	1.9	2.2	2.2
Other services, net	0.1	—0.1	— 0.2
Goods and services, net	2.8	2.2	0.1
Remittances and pensions	— 0.6	— 0.7	— 0.8
Govt. grants and capital outflows	— 2.2	— 2.6	— 2.4
U.S. private capital, net:			
— direct investments	— 1.3	— 1.2	— 1.4
— other long-term capital	— 0.4	— 1.4	— 0.9
— short-term, net	— 0.3	— 0.3	— 0.1
Foreign private capital other than liquid funds	0.4	—	0.9
Miscellaneous Govt. non-liquid liabilities	—	—	—
Errors and unrecorded transactions	0.5	0.5	0.4
Balance on regular transactions	— 1.1	— 3.5	— 4.2
U.S. liquid liabilities to:			
a) foreign official non-monetary			
b) foreign commercial banks			
c) international non-monetary institutions			
d) private non-bank foreigners			
Advances on U.S. military exports			
U.S. Govt. non-marketable, medium-term, non-convertible securities sold to Switzerland			
U.S. securities sold to Canada under Columbia River Treaty	—	—	—
Balance settled by official transactions			

Source : U.S. Department of Commerce.

countries, while efforts were to be made to avoid placing undue burdens on Canada, Japan and the United Kingdom. Similar restraint in foreign lending was asked of non-bank financial institutions. Private non-financial corporations investing abroad were asked to co-operate on a voluntary basis with the Government with the object of reducing the net dollar cost of their foreign operations. In March the authorities requested some 600 large companies to file a short return showing their individual balances of selected foreign transactions for 1964 and any improvements they expected to make in 1965.

Following the introduction of this programme the capital outflow fell significantly, mainly because of a turnaround of bank-reported capital from a net outflow of $438 million in the first quarter to a net inflow of $369 million in the second; the inflow continued in the third quarter. The repatriation by non-financial institutions of deposits and other short-

OF PAYMENTS

Billions of dollars, quarters seasonally adjusted.

1960	1961	1962	1963	1964	1964 1st qtr.	1964 2nd qtr.	1964 3rd qtr.	1964 4th qtr.	1965 1st qtr.	1965 2nd qtr.
19.5	19.9	20.6	22.1	25.3	6.1	6.1	6.4	6.7	5.6	6.8
14.7	14.5	16.2	17.0	18.6	4.4	4.6	4.7	4.9	4.7	5.5
4.8	5.4	4.4	5.1	6.7	1.7	1.5	1.7	1.8	0.9	1.3
— 2.7	— 2.6	— 2.4	— 2.3	— 2.1	— 0.5	— 0.5	— 0.5	— 0.5	—0.5	—0.5
2.4	3.0	3.4	3.4	4.1	1.1	1.1	1.0	0.9	1.2	1.3
— 0.3	— 0.3	— 0.2	— 0.3	— 0.1	— 0.1	— 0.1	—	—	—0.1	—0.1
4.1	5.6	5.1	5.9	8.6	2.2	1.9	2.2	2.2	1.5	2.0
— 0.7	— 0.7	— 0.7	— 0.8	— 0.8	— 0.2	— 0.2	— 0.2	— 0.2	—0.2	—0.3
— 2.8	— 3.4	— 3.5	— 3.8	— 3.6	— 0.8	— 0.9	— 0.9	— 1.0	—0.8	—1.0
— 1.7	— 1.6	— 1.7	— 2.0	— 2.4	— 0.5	— 0.5	— 0.6	— 0.8	—1.2	—0.9
— 0.9	— 1.0	— 1.2	— 1.7	— 2.0	— 0.3	— 0.3	— 0.6	— 0.8	—0.7	0.1
— 1.3	— 1.6	— 0.5	— 0.8	— 2.1	— 0.6	— 0.5	— 0.4	— 0.6	0.3	0.5
0.3	0.6	0.2	0.3	0.4	—	0.1	0.2	0.1	0.3	—0.2
—	—	—	—	0.2	—	—	0.2	—	—	—
— 1.0	— 1.0	— 1.2	— 0.4	— 1.2	— 0.3	— 0.2	— 0.3	— 0.4	—	—0.2
— 3.9	— 3.1	— 3.6	— 3.3	— 3.1	— 0.4	— 0.5	— 0.6	— 1.6	—0.8	0.1
0.2	— 0.1	— 0.5	—	—	—	—	—	—	—	—
0.1	0.6	— 0.1	0.5	1.4	0.3	0.1	0.6	0.5	0.2	—0.2
0.3	0.4	0.2	— 0.2	— 0.2	— 0.1	—	— 0.1	—	—0.1	—
— 0.2	0.1	0.1	0.4	0.4	—	0.1	0.1	0.1	0.1	0.1
—	—	0.5	0.3	0.2	0.2	— 0.1	—	0.1	0.1	0.1
—	—	0.1	0.1	—	—	—	—	—	—	—
—	—	—	—	— 0.2	—	—	— 0.2	—	—	—
— 3.5	— 2.0	— 3.3	— 2.2	— 1.5	—	— 0.5	— 0.3	— 0.8	—0.5	0.1

term funds held abroad which had begun in the first quarter continued in the second quarter. New issues of foreign securities fell slightly in the second quarter, and for the first half-year as a whole were at about the same annual rate as in 1964 — some $1 billion. The foreign balance was adversely affected in the second quarter by net sales by foreigners of U.S. securities worth about $250 million; this mainly represented steps by the British government to convert part of their security portfolio into shorter assets.

Part of the decline of the capital outflow was probably of a non-recurrent character. The reflow of bank credit is unlikely to continue, at least to the same extent, since there is now room under the official guidelines for a considerable increase in bank loans to foreigners; at the end of July the net unused facilities amounted to $570 million. Moreover, available information suggests that the contribution of the non-financial sector in

the second quarter mainly consisted of repatriation of liquid balances invested abroad — the easiest and quickest way of improving the foreign balance; it is likely that the scope for further improvement on this account is moderate. On the other hand, direct investment outflows remained very high in the second quarter, partly owing to special factors, including retroactive tax payments by U.S. oil companies operating abroad.

The increase in the trade surplus in the second quarter also partly reflected temporary factors. The dock strike in the first months of the year shifted about $450-500 million of exports but only $150-200 million of imports from the first to the second quarter. Nevertheless, the catch-up was smaller than might have been expected and the first half year as a whole showed a much smaller trade surplus than a year earlier. This was partly due to a sharp rise in steel imports because of the build-up of inventories which was only partly offset by a shortfall of imports of coffee. Moreover, agricultural exports were lower than a year ago, when they were boosted by large wheat shipments to the Soviet Union. There was also a slowdown of the rise in non-agricultural exports mainly because of the slackening of the rise in world imports, particularly in countries constituting important markets for U.S. exports such as Western Europe, Latin America and Japan. The decline in the trade surplus has been partly offset by higher net invisibles receipts, mainly because of a further strong increase in investment income. Other current items combined have moved unfavourably, largely because of growing tourist expenditure abroad. The current surplus in the first half of 1965 was therefore about $1.5 billion lower (at an annual rate) than a year earlier. In the third quarter the trade surplus rose sharply and almost regained the high level of a year ago; on a year-to-year basis exports rose by 7.5 per cent and imports by 12.5 per cent.

Since quarterly figures have been so strongly affected by temporary influences, it is more prudent to measure progress made in reducing the disequilibrium — and the progress still needing to be made — by the results of the first six months as a whole. These showed a deficit on regular transactions at a seasonally adjusted annual rate of $1.3 billion or one of $0.8 billion (also seasonally adjusted annual rate) on the balance settled by official transactions.

U.S. gross official reserves (including the IMF position) fell by $910 million in the first half of 1965, reflecting primarily purchases of gold by certain foreign governments; official holdings of foreign convertible currencies rose somewhat. The counterpart of much of the decline in the gold stock was a decrease in U.S. foreign liquid liabilities, and an improvement in the U.S. gold tranche position with the IMF.

In view of the fact that the improvement in the second quarter was partly due to temporary factors, the balance on regular transactions is expected to fall back into a deficit in the second half of 1965. Preliminary estimates for the third quarter suggest that this will be the case, but the

deficit may not be much higher than the rate of deficit in the first six months as a whole. On an official settlements basis, however, the third quarter, like the second, showed a small surplus. The trade surplus should rise, given the good outcome in the third quarter. Exports would seem likely to increase. The rise in imports should slow down. Aircraft purchases may be exceptionally high in the rest of the year and coffee imports are rising again, but the precautionary steel imports should fall off. The aggregate of other current transactions may worsen slightly; a further increase in net tourist expenditure is probable; investment income may fall from its high level in the first half of the year, and military expenditure abroad will increase somewhat. Nevertheless, a moderate increase in the current account surplus would seem likely.

On the other hand, the capital outflow may increase somewhat in the second half of the year. It would seem prudent to assume some new rise in bank credits to abroad but the U.S. authorities do not expect an increase to the extent permitted in the official guidelines, since it is likely that other factors than the voluntary programme are limiting the outflow, notably strong domestic credit demand, tighter domestic credit conditions, less buoyant exports, the IET, and easier credit conditions in some foreign countries. Foreign liquid assets of non-financial corporations may not be repatriated on the large scale experienced in the first half of the year. On the other hand, the rest of the capital account should improve. Anticipated new offerings suggest that the volume of new issues by foreigners in New York will rise; but even though investment surveys suggest continued increase in U.S. corporations' direct investment overseas, outflows in the second half are likely to be smaller than the record outflows of the first half. No very considerable increase in government capital outflows under aid programmes would seem likely, and most of it would in any case be tied to U.S. exports.

It is difficult to forecast the movement of the foreign balance beyond the present year. Since the voluntary programme will be maintained in 1966, a further rise of the capital outflow may be avoided, but whether it will fall will heavily depend on the trend of direct investment. There are tendencies of considerable longer-term strength in the current balance, the two most important being the trade balance and investment income; together these items improved by $3.4 billion between 1960 and 1964. Given the continuing improvement in the cost position of U.S. industry in relation to that of most other Member countries, the underlying trend of the trade balance is probably improving, pointing to some increase in the trade surplus in 1966. But the improvement may be limited by lack of buoyancy in some foreign markets which will make it difficult to achieve a percentage increase in exports exceeding that in imports associated with domestic expansion. The rise in investment income may continue in 1966, but probably at a lower rate than in the present year when it was accelerated by the February measures.

II. BUDGETARY AND MONETARY DEVELOPMENTS

The duration and strength of the current expansion have been strongly influenced by Federal Government policies. Fiscal policy has been actively used to promote a strong expansion of production and incomes. And monetary policy has been adjusted to help the balance of payments while minimising adverse effects on the domestic expansion.

Fiscal Policy

The emphasis of fiscal policy since 1962 to sustain economic expansion has been on tax cuts, of which there have now been a succession. The 1962 investment tax credit and more favourable depreciation rules for business investment were followed in 1964 by the cut in personal and corporate direct taxes which amounted to $8.5 billion for 1964 and to about $14 billion when fully effective in 1965. In 1965 Congress adopted a programme of excise tax reductions amounting to $4.7 billion at an annual rate spread over five years; a first cut of $1.75 billion a year was effected in June and a similar cut will be made next January. The expenditure side has been employed less. An increase in expenditure was used deliberately to stimulate the economy in 1961 and 1962, but since then the expansion of the budget has been relatively small, amounting to just about 1 per cent in the fiscal year ending last June; in the current fiscal year expenditure is expected to rise by more than 5 per cent.

TABLE 3. **FEDERAL BUDGET**

NATIONAL ACCOUNTS BASIS

$ Billion.

	1962-63	1963-64	1964-65
Receipts	110.2	115.1	119.4
Expenditure	111.4	118.1	119.3
Purchases of goods and services	63.4	66.8	65.0
Balance	— 1.2	— 2.9	0.2

Source: Economic Indicators, Council of Economic Advisers.

The 1964 tax cut was followed by an immediate increase in the budget deficit, but with the lower tax rates serving to stimulate the expansion of economic activity, and accelerate the increase in taxable incomes, the budget changed to show a surplus in the first half of calendar 1965. The slow-

down of the rise in expenditure also contributed to this movement. In the fiscal year 1964-65 as a whole the budget was in approximate balance on a national accounts basis, compared with a deficit of $2.9 billion in the preceding year. At the time of writing, the final estimates for the fiscal year 1965-66 were not available. The indications are that, on a national accounts basis, the budget turned to show a deficit in the third quarter of calendar 1965, i.e., the first quarter of the fiscal year, reflecting notably the cut in excise taxes and the increase in social security benefits. The budget may remain in moderate deficit during the rest of the fiscal year.

Perhaps one of the most important results of the successful fiscal policy pursued over the last few years has been the change in public attitudes towards it. Recent experience has shown that budget deficits need not necessarily lead to inflation. This has led to a better understanding of the fact that timely adjustments in Federal expenditure and tax rates constitute the most important means available to the Federal Government to keep aggregate demand expanding in line with productive capacity. This should facilitate further development of the budget as an economic policy instrument. But while experience since 1961 has shown how effective budget policy can be in helping to maintain economic growth, it has also thrown up a number of problems which need to be solved if the budget is to become a more flexible instrument for demand management. There may be need for changes in procedures providing for more speed in implementing tax changes, and a wider margin of manœuvre for making short-term changes in expenditure. Speed is particularly important when the economy is threatened with recession. The President, in his Economic Report transmitted to Congress in January 1965, suggested « that Congress itself evaluate its procedures and determine the best way to reinforce the Nation's confidence that an anti-recession tax proposal would be considered and voted promptly ». The Administration is improving its advance planning with a view to accelerating government spending when recession is threatening.

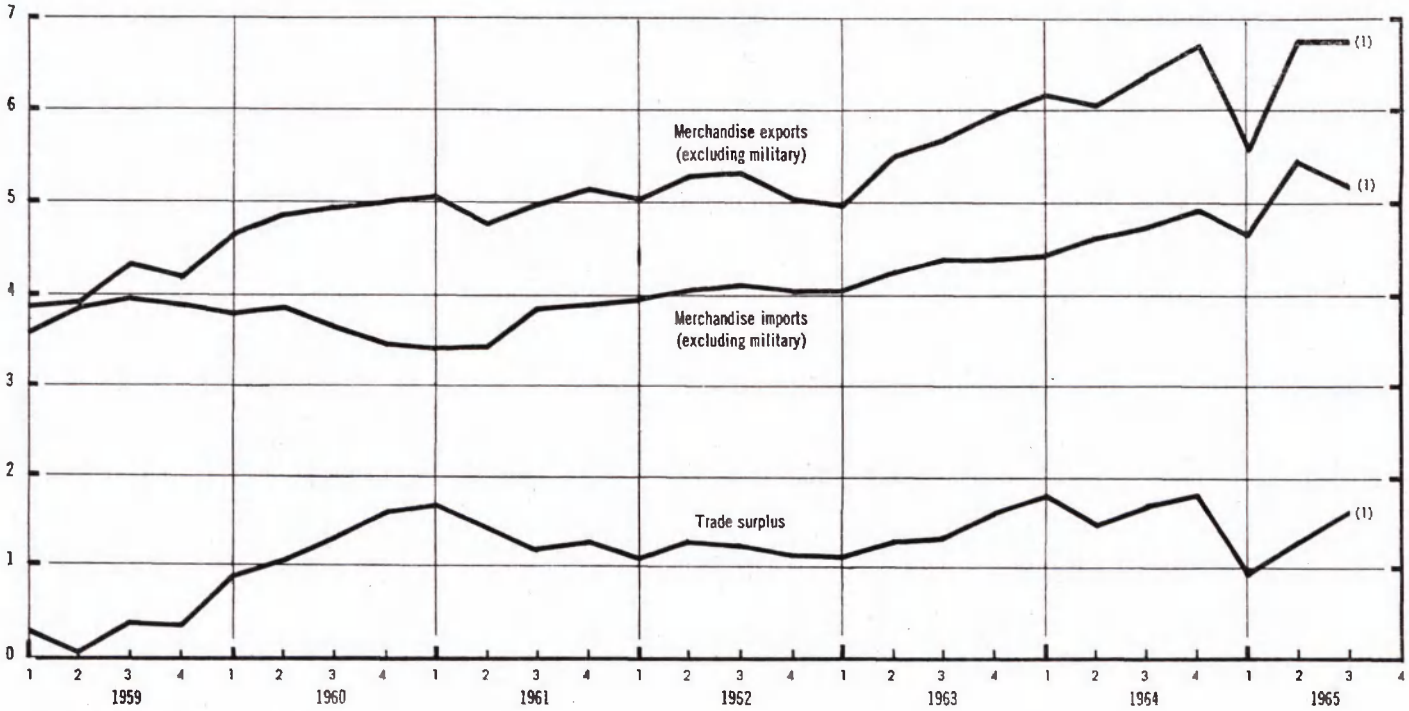
Monetary Policy

In 1965, there has been a moderate increase in the degree of monetary restraint, reflected notably in the commercial banks' reserve position, in lending standards, and recently in interest rates. This move was designed to support the voluntary balance of payments programme introduced in February. Nevertheless, monetary policy has continued to accommodate the growth of domestic demand. Bank credit, while tapering off from temporarily high rates of advance earlier in the year, has expanded at an average rate somewhat above that for 1964 as a whole.

Overall credit demands have strengthened in 1965 in response to the rise in investment and gross national product. The increase at an annual

Diagram 2. **U.S. BALANCE OF TRADE 1959-65**

QUATERLY DATA. SEASONALLY ADJUSTED. $ BILLION



1. Provisional.

Source: Survey of Current Business.

rate in the total demand for funds in the first half of 1965 over 1964 was about equal to the increase between 1963 and 1964, and was accommodated by a rising flow of funds through the credit and capital markets at essentially stable rates of interest during the first half of the year, although subsequently rates have risen appreciably. Significant changes have been occurring in the composition of credit flows. On the lending side, commercial banks have been in a position to compete more effectively for flows of financial savings because of increases in ceiling rates on time and savings deposits announced in November 1964 and more fully effective in 1965. This larger role for commercial banks has been matched on the demand side by vigorous business demand for loans at commercial banks and a relatively slower pace of mortgage lending activity at other savings institutions. During earlier years of the current economic expansion, internal funds available to non-financial corporations had financed an unusually large share of corporate investment. But since the last quarter of 1964, investment outlays have risen much faster than internal funds available for financing investment, with a consequent increase in corporate external financing needs. The credit expansion was particularly strong in bank loans during the first half of the year, and it has also been reflected in a rising volume of corporate security offerings.

Bank credit, including both loans and investments, rose at a seasonally adjusted annual rate of about 9.5 per cent during the first nine months of 1965, following an increase of 8.4 per cent in 1964 as a whole. The rise consisted of loans and was to some extent inflated by temporary factors; in January and February foreign credit demand and the dock strike inflated the increase in bank loans, and since the strike deadline in the steel industry was extended to September, stockpiling by steel-users continued to affect credit demand. Although the temporary factors were less strong in the second quarter, the rise in bank loans, although slowing down somewhat, remained substantial, mainly reflecting the greater need for working capital, the continued rise in business fixed investment and a strong increase in consumer credit. The banks' holdings of government securities have declined in 1965, a movement that has outweighed the continued rise in their holdings of other types of securities.

The increase in time and savings deposits at commercial banks has continued at a high rate. The increase in maximum interest rates payable on time deposits effected in November 1964, following those made in 1962 and 1963, stimulated this trend; deposits at other financial intermediaries, such as the savings and loans associations for example, have expanded less fast. But in the present year, in contrast to 1964, total deposits have risen less than the increase in bank credit, with growing pressure on the banks' reserve position. The banks have also raised funds in the securities market; in June, two major New York City banks together raised about $500 million by the sale of debentures and convertible notes.

TABLE 4. COMMERCIAL BANKS

CHANGES IN MAJOR ITEMS

$ Billion.

	1963	1964	1964	1965
			First nine months	
Bank credit	18.3	23.2	12.0	13.8
Financed by :				
Deposits (excluding inter-bank deposits)	13.7	29.1	13.3	4.4
Demand	0.4	13.4	2.1	—10.7
Time	13.4	15.7	11.3	15.1
Borrowings (+)	[1]	— 1.0	— 0.9	1.7
Decline in reserves (+)	3.3	— 9.8	— 2.2	7.4
Other	1.2	4.9	— 1.8	— 0.3

1. Less than + $50 million.
Source: Federal Reserve Bulletin.

TABLE 5. RISE IN BANK DEPOSITS

Per cent.

	PRIVATE DEMAND DEPOSITS	TIME DEPOSITS
1960	— 0.8	8.3
1961	3.5	13.5
1962	0.9	18.2
1963	3.2	14.8
1964	4.0	12.8
1965 1st 9 months, seasonally adjusted annual rates	3.5	15.9

Source: Federal Reserve Bulletin.

Monetary policy has been less expansionary this year than previously. This is reflected in the change in banks' total reserve positions, in their increased resort to borrowing at the Federal Reserve Banks, and in much firmer money market conditions. Although the Federal Reserve System's purchases of securities rose sharply in the first half of 1965, much of this was required merely to offset the gold sales of the period. Borrowings at Federal Reserve banks have trended irregularly higher throughout the year and have averaged more than $500 million since late spring. The

higher level of borrowings at Federal Reserve Banks has been coupled with frequent resort by large commercial banks to the Federal Funds market at rates averaging around 1/8 per cent above the discount rate in recent months. Another important indication of the shift in policy is the behaviour of net free reserves[1] which were positive at about $100 million in the second half of 1964, and have averaged about minus $150 million since March of this year. Banks have responded to strong demands for credit not only by borrowing more heavily at the Federal Reserve but also by reducing their holdings of Government securities. Their secondary reserves — government securities maturing within one year — have fallen to a low level by historical standards. The commercial banks' loan-deposit ratio, an indicator of bank liquidity, has increased steadily in recent years from 58 per cent in the first half of 1963 to about 64 per cent in September 1965, reflecting a tightening of the banks' liquidity position.

TABLE 6. **MEMBER BANK RESERVES**

$ Million.

END OF MONTH	1962 DEC.	1963 DEC.	1964 JUNE	1964 DEC.	1965 JULY	1965 AUG.	1965 SEPT.
1. Total	20,040	20,746	20,558	21,609	21,865	21,620	21,729
2. Required	19,468	20,210	20,168	21,198	21,516	21,192	21,356
3. Excess (1-2)	572	536	390	411	349	428	373
4. Borrowings at F.R. Banks	304	327	270	243	524	564	528
5. Free reserves (3-4)	268	209	120	168	—175	— 136	— 155

Source: Federal Reserve Bulletin.

The volume of funds raised in securities markets has also risen rather rapidly, although less fast than bank loans. Gross proceeds of new issues rose by about 10 per cent in the first four months of the year compared with a year earlier. In May and June there was a strong increase in new offerings, with greater pressure on the market, partly because of the large issues floated by the two New York City banks. With the improvement in the budget position, demands by the Federal Government on the securities market are less than earlier; indeed, in the first half of the present year the public debt (gross) fell somewhat. Demand for mortgage credit has also weakened somewhat, influenced by the downward trend in housing starts that developed during 1964.

1. Free reserves are excess reserves less borrowing at Federal Reserve Banks; excess reserves are total reserves less required reserves.

TABLE 7. FACTORS AFFECTING BANK LIQUIDITY

$ *Million.*

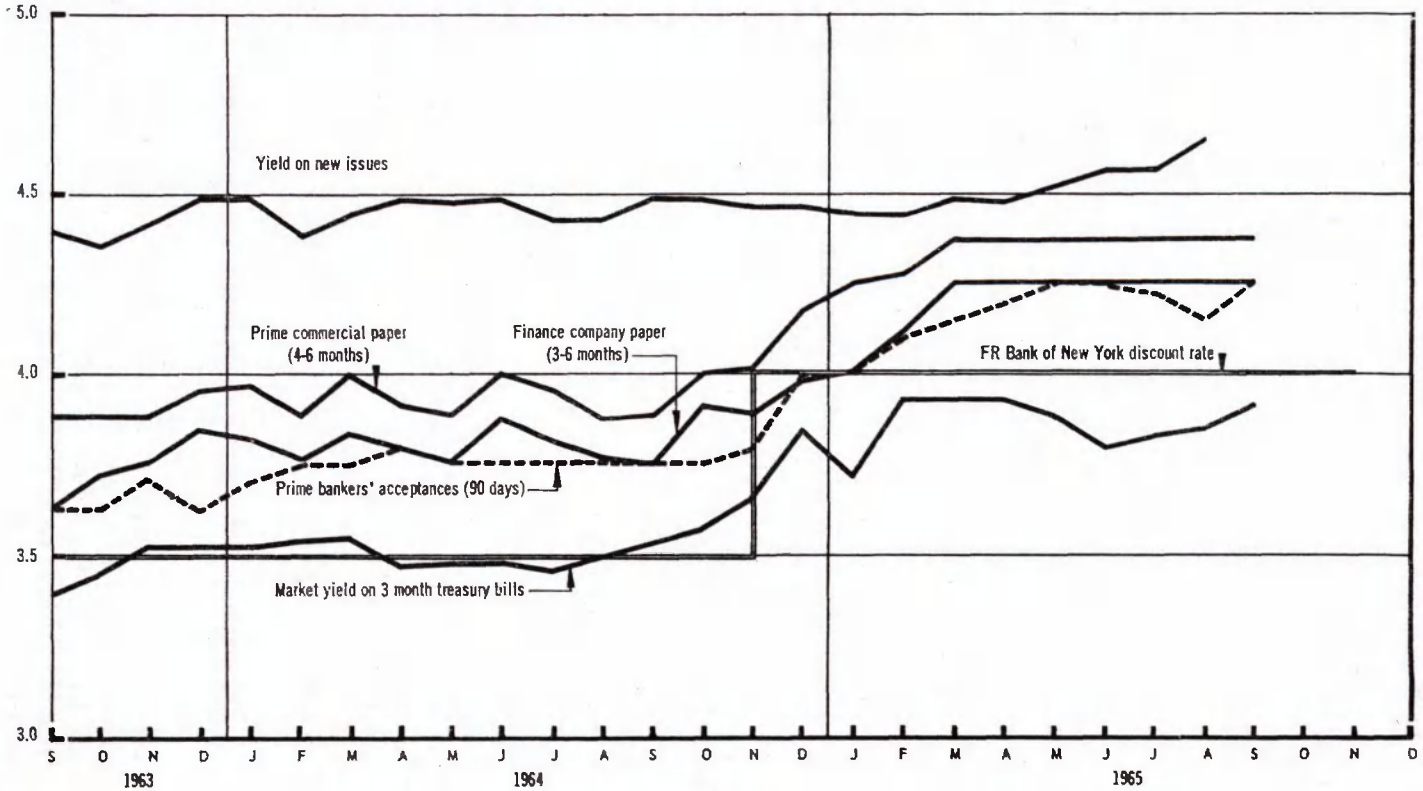
	1962	1963	1964	1964	1965	YEAR ENDING SEPT. 1965
				First nine months		
A. *Factors reducing bank liquidity*	*2,353*	*2,999*	*2,722*	*802*	*2,359*	*4,279*
— Decline in gold stock.....	951	416	174	100	1,530	1,604
— Increase in currency circulation	1,327	2,322	2,095	621	648	2,122
— Government transactions	75	261	453	81	181	553
B. *Factors increasing liquidity*	*2,275*	*3,705*	*3,585*	*984*	*2,480*	*5,081*
— Federal Reserve open market operations	1,448	3,183	3,397	1,544	1,982	3,835
— Federal Reserve lending to banks	153	55	—94	—28	267	201
— Other	674	467	282	—532	231	1,045
C. *Increase in reserves*	*—78*	*706*	*863*	*182*	*121*	*802*
Required reserves	—82	742	988	298	158	848
Excess reserves	4	—36	125	—116	—37	—46

Source: Federal Reserve Bulletin, October 1965.

Interest rates have risen over the past year (see Diagram 3). In November 1964 the Federal Reserve Banks' discount rates were raised from 3.5 per cent to 4 per cent following the rise in the British Bank rate to 7 percent. At the same time, the interest ceiling on all forms of savings deposits, as well as on time deposits with maturities of less than 90 days, was raised to 4 per cent. Time deposits with maturities of 90 days or more had their ceiling raised from 4 to 4.5 per cent. These measures were promptly. followed by increases in the deposit rates offered by banks, making U.S. banks more attractive to both domestic and foreign depositors. The increase in discount rates in November was followed by an increase in market rates, notably at the shorter end of the market. Yields on prime commercial papers (4 to 6 months) and finance papers (3 to 6 months) had risen by more than one-third of one percentage point by the end of March and have since remained at the higher level; rates on bankers' acceptances (90 days) have risen by almost one half of one percentage point. The market yield on 3-month Treasury bills reached nearly 4 per cent at the end of February, but fell somewhat in the following months; the decline may have been influenced by the repatriation of liquid funds held abroad as well as by other special circumstances. Yields began to strengthen late in August and reached 4 per cent by October, with longer 6-month and 1-year bills trading close to 4.25 per cent, partly because of seasonal money-market pressures but also reflecting some pressures on the liquidity of corporations and banks. Corporate bond yields have also

Diagram 3. **U.S. INTEREST RATES**

MONTHLY AVERAGE. % PER ANNUM



advanced, with the average yield on new AA corporates reaching 4.7 per cent by late September. The rise in rates has extended to long-term government issues with most issues yielding over 4.25 per cent by mid-October.

III. MAJOR POLICY PROBLEMS

Although economic activity has risen fast over the last year, and the foreign balance has improved, the maintenance of a satisfactory rate of expansion and the need for a further strengthening of the balance of payments continue to pose important economic policy issues.

Domestic Expansion

An outstanding feature of U.S. economic policy in recent years has been the recurrent use of budgetary measures to strengthen domestic demand. The cuts made in tax rates have been essential to maintain the upward trend. While activity and employment have responded vigorously to these measures, they are still rather short of the desired levels. The U.S. experience is in sharp contrast to trends in recent years in most European countries, where demand has more often tended to rise too fast rather than too slowly, and the policy problem involved would seem to deserve some consideration.

The persistent underutilisation of resources in the U.S. economy has reflected a tendency for savings (private and public combined) to exceed investment, i.e., the propensity to save has been greater than the propensity to invest. Aggregate demand has fallen short of full use of productive capacity, and has moved up towards capacity only because of fiscal measures which have reduced the total propensity to save and increased the propensity to invest. Looking at it from another point of view, the rate of investment required from the demand side (to maintain a satisfactory rate of growth) might well have generated more capacity than could have been justified by the growth of aggregate demand under full employment conditions.

The imbalance can to a large extent be ascribed to the Federal Budget. Under conditions of full employment, the Federal Budget would have shown a considerable surplus of revenues over actual expenditures in recent years. The high point came in 1960 when the implicit full employment surplus was about 2.5 per cent of GNP. This means that full employment could have been obtained only if private investment had exceeded private saving by a similar amount. The tax reduction of 1964 lowered the full employment surplus for that year, and in the second half of 1965 it is

only a few billion dollars. A surplus of that level might well be consistent with the realization of full employment in the United States. But that surplus can only be kept down to moderate levels if Federal actions are taken continuously to offset the growth of revenues. On the basis of existing tax laws, economic expansion in line with the growth of productive capacity, allowing for the usual upcreep in GNP price deflator, produces an increase in Federal revenues of more than $7 billion a year. Unless Federal expenditure or tax reduction should match that normal growth of revenue, the potential budget surplus would grow significantly and act as a brake on the expansion, so that the actual increase in GNP might fall short of the potential growth rate and the potential budget surplus would not materialise.

It is also possible that the potential rise in business savings may exert a depressive influence on the economy. The rise in GNP to a full employment level would partly result from a better utilisation of existing capacities, a movement typically associated with a sharp increase in profits and retained earnings. If business investment is not rising pari passu, the potential increase in business financial savings will tend to slow down the expansion. But judging from trends during the current expansion, the rise in potential financial savings of the business sector is much smaller than that of the Federal Government. Moreover, it is likely that investment will grow faster when a fuller utilisation of resources has been reached than when, as at present, there is a margin of unused capacity.

The nature of the problem can be illustrated by looking forward to 1966. To match the growth of productive capacity and to reduce unemployment to 4 per cent, the authorities' interim target, an increase in real GNP of about 11 per cent would be required between 1964 and 1966. Allowing for the normal recent increase in the GNP deflator, the rise in current dollar GNP over this period would be about 14 per cent or roughly $90 billion. If there has been unchanged tax rates throughout, the growth in federal and state and local revenue from 1964 to 1966 might exceed $30 billion. Gross business saving (retained earnings plus capital consumption allowances) might rise about $10 billion. With some automatic increases in transfer payments, $50-55 billion would be left for personal disposable income. Including a moderate increase in personal saving, gross national saving (private and public) could increase $40-45 billion over the 2-year period, if no Government expansionary actions whatsoever were taken. This would represent more than a 40 per cent increase over the gross national saving of $99 billion in 1965. It is hardly conceivable that investment could grow anywhere near fast enough to absorb this expansion in saving. Of course, however, there will be substantial increases in Government expansionary actions over this period. State and local governments can be relied on to keep their overall surplus near the modest level of $1.4 billion they had in 1964. As noted above, the Federal Government has already taken considerable expansionary

actions in the form of tax reductions and some increases in expenditures. With prospects for continuing rises in Federal spending in the first half of 1966, it now looks as though demand will rise fast enough to ensure expansion at a good rate. It is still too early to say much about the prospects for the second half of next year, but the need for fiscal action to prevent an imbalance between potential saving and investment cannot be excluded and is not excluded by the United States authorities. It is too soon to say whether the fiscal position that is likely to be consistent with the actual attainment of full employment in the United States is tighter, easier or about the same as the current position involving a small potential surplus at full employment.

There are various ways in which the imbalance could be corrected. From an international point of view, the *type* of measure taken is not so important as long as sustained expansion of activity is secured. But the main types of action relevant would seem to be the following:

a) Further cuts in personal tax rates, or an increase in transfer payments to the private sector or to States and local authorities. This would reduce government savings and increase non-Federal expenditure.

b) An increase in the Federal sector's purchases of goods and services insofar as these are desirable in themselves. In terms of costs to the Federal budget this is normally more efficient as a means of stimulating demand than either tax cuts or higher transfer payments. The former has an immediate effect on GNP equivalent to its full amount, while both of the latter are to some extent offset by higher savings; typically, consumers save about 7 cents of each dollar by which their disposable incomes increase.

The possibility of an imbalance between the propensities to save and invest cannot, of course, be corrected once and for all. It is a continuing task of economic policy to ensure that demand is rising in line with productive capacity. In the last few years this has required action to stimulate demand. Prospects now suggest that aggregate demand will rise strongly through the first half of next year, but the maintenance of the expansion will constitute an important element in the formulation of fiscal policy for 1966/67. Under conditions where investment tends to exceed the level of national savings at full employment, the task of policy will be to restrict demand. But on present trends this is unlikely to be the case in the immediate future.

The Foreign Deficit

An important objective must now be to consolidate the recent improvement and to make further progress towards external balance. It would now seem important to achieve and maintain for some time an equilibrium position so as to eliminate any remaining doubts concerning the existing

parity of the dollar. Three considerations would seem to be of major importance in this context.

First, it is important that the virtual stability of prices and labour costs in recent years should be maintained. With labour costs rising in most other Member countries, this has meant a considerable improvement of the competitive position of U.S. industry, probably a key element in the increase in the trade surplus in the last few years. But a further improvement may be more difficult to achieve, both because greater efforts are now being made to stabilise prices in many other countries, and because pressure on wages and prices may tend to increase in the United States as the economy is approaching a full employment level of activity. Maintenance of price stability must be an objective of high priority. It will require vigorous action to strengthen the competitive forces in the economy, improve labour mobility, and ensure observation of the price-wage guideposts.

Second, monetary policy has an important role to play in achieving external equilibrium as well as in sustaining domestic expansion. U.S. authorities have placed their main reliance in improving the balance of payments on specific measures, e.g., the IET and the voluntary programme. At the same time, the authorities have taken advantage of the strong expansion of domestic activity to tighten credit conditions over the past year, with a reduction in the commercial banks' free reserves and some rise in interest rates, thereby supporting the specific measures. The authorities' preference for specific measures is due to the adverse effect that a further tightening of monetary conditions might have on the domestic expansion; it is felt that there is little reason to believe that foreign loans and investments are largely marginal transactions which would be affected first by increased monetary restraint. The capital outflow is no doubt to a large extent due to structural factors such as, for example, the combination of large and well-organised financial markets in the United States and small and generally ill-developed money and capital markets abroad; the greater abundance of savings in relation to investment demands in the United States has meant less pressure on interest rates than elsewhere; direct investment abroad has been encouraged by the desire of U.S. business to set up inside preferential trading areas abroad. The authorities therefore fear that a considerable tightening of monetary policy would be required to affect the capital outflow significantly. Nevertheless, greater monetary restraint would clearly work in the right direction. If specific measures cannot ensure that the balance of payments continues to evolve satisfactorily, some further tightening of monetary policy would therefore be desirable to the extent that it can be consistent with a satisfactory upward trend of domestic demand, given the possibility of taking further stimulative fiscal measures. It is important that the beneficial effects on international capital flows of any U.S. move towards firmer monetary conditions should not be offset by action in other countries.

Third, the maintenance of sustainable growth of economic activity is, of course, desirable in itself, both for the United States and the rest of the world; given the weight of the U.S. economy, strong domestic expansion is essential for the achievement of the OECD growth target and for continued rapid increase in world trade. Maintenance of strong domestic expansion may also be a prerequisite for achieving a better equilibrium in the U.S. balance of payments. A slowdown of the expansion would ease domestic credit demand, reduce the profitability of domestic investment, and be reflected in reduced pressure on bank reserves and interest rates. While there might be some offsetting gains on current account, the increased incentives for U.S. capital to flow abroad might lead to a deterioration of the balance of payments. Moreover, a weak trend in domestic demand would no doubt call for an easier monetary policy, which would aggravate the capital outflow problem.

IV. CONCLUSIONS

The main policy conclusions of this Survey can be summarised as follows:

a) The 1964 tax cut has been a key element in the acceleration of economic activity over the last eighteen months. With the strong increase in taxable incomes, the rise in the Federal budget deficit was short-lived; indeed, by the middle of 1965 the deficit had been replaced by a surplus on a national income and product account basis.

b) The expansion should continue at a high rate well into 1966, influenced by lower excise taxes and higher social security benefits, and by the increase in defence outlays. The outlook beyond the middle of next year is of course more uncertain, but the U.S. Administration is determined to propose in the 1966/67 budget such action as will be necessary to maintain a satisfactory rate of growth. Opportunities to adjust the budget in the light of developments during the year may also be important.

c) The persistent use of budgetary measures to stimulate demand in recent years has reflected a tendency for savings to outrun investment. The tendency for Federal Government savings to rise as the economy expands has constituted a major element of the slack in the U.S. economy. The most relevant measures for avoiding recurrence of slack in the future would be an increase in Federal expenditure, or cuts in tax rates to stimulate expenditure by other sectors.

d) The achievement of a small balance of payments surplus on

account of regular transactions in the second quarter was partly due to temporary influences. Some deficit is likely to reappear in the second half of the year. Preliminary estimates for the third quarter suggest this will be the case, but the second half deficit on regular transactions may not be much higher than in the first half, and on an official settlement basis, it quite possibly will be lower. Given the prolongation of the voluntary programme, and the U.S. authorities' determination to take further measures as needed, there are reasons for hoping that 1966 will see a further improvement. But the outlook for a period so far ahead must necessarily be rather uncertain; an area of particular uncertainty is direct investment abroad.

e) Thus the considerable progress already made in reducing the external deficit must not blind opinion to the fact that there is still some way to go before a sustainable equilibrium has been reached. Several policy conclusions follow from this. Continued efforts need to be made to maintain price stability. The authorities should be ready to make further use of selective balance of payments measures. Given the strong upward trend in domestic demand, the authorities are in a position to go somewhat further in tightening monetary conditions to strengthen the balance of payments if this should be needed. The need to improve the balance of payments is an additional reason for maintaining non-inflationary domestic expansion; a slowdown of the expansion would lead to an easing of monetary conditions which would encourage the capital outflow. Continued strong expansion, with further fiscal stimulus if necessary, must remain a key element of U.S. economic policy.

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STATISTICAL ANNEX

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TABLE 1. NATIONAL PRODUCT AND EXPENDITURE IN CONSTANT (1958) PRICES

Billion 1958 dollars.

	PERSONAL CONSUMPTION EXPENDITURES	GROSS PRIVATE DOMESTIC INVESTMENT	OF WHICH:			NET EXPORTS OF GOODS AND SERVICES	GOVT. PURCHASES OF GOODS AND SERVICES	OF WHICH:		GROSS NATIONAL PRODUCT
			NEW CONSTRUCTION	PRODUCERS' DURABLE EQUIPMENT	NET CHANGE IN BUSINESS INVENTORIES			FEDERAL	STATE AND LOCAL	
	1	2	3	4	5	6	7	8	9	10
1952	239.4	60.5	32.6	24.6	3.3	3.0	92.1	63.8	28.4	395.1
1953	250.8	61.2	34.5	25.8	0.9	1.1	99.8	70.0	29.7	412.8
1954	255.7	59.4	35.1	24.5	−2.0	3.0	88.9	56.8	32.1	407.0
1955	274.2	75.4	41.3	27.7	6.4	3.2	85.2	50.7	34.4	438.0
1956	281.4	74.3	40.7	28.8	4.8	5.0	85.3	49.7	35.6	446.1
1957	288.2	68.8	38.5	29.1	1.2	6.2	89.3	51.7	37.6	452.5
1958	290.1	60.9	37.4	25.0	−1.5	2.2	94.2	53.6	40.6	447.3
1959	307.3	73.6	40.9	27.9	4.8	0.3	94.7	52.5	42.2	475.9
1960	316.2	72.4	39.3	29.6	3.5	4.3	94.9	51.4	43.5	487.8
1961	322.6	69.0	38.9	28.1	2.0	5.1	100.5	54.6	45.9	497.3
1962	338.6	79.4	41.7	31.7	6.0	4.5	107.5	60.0	47.5	530.0
1963	352.4	82.3	42.8	33.8	5.7	5.6	109.8	59.7	50.0	550.0
1964	372.1	86.3	43.4	38.3	4.6	8.5	110.7	57.8	52.8	577.6
1962[1] : 1st quarter	333.5	77.2	40.4	30.3	6.5	3.5	105.5	58.6	46.9	519.7
2nd quarter	335.9	79.0	42.8	31.3	5.9	5.2	107.8	60.7	47.1	527.9
3rd quarter	340.3	80.6	42.5	32.8	5.3	4.9	107.8	60.2	47.6	533.6
4th quarter	344.8	80.7	41.9	32.6	6.2	4.4	108.5	60.6	48.0	538.5
1963[1] : 1st quarter	348.3	78.7	41.9	32.4	4.4	4.0	110.3	61.3	49.1	541.2
2nd quarter	350.0	80.5	42.4	33.5	4.6	5.8	108.7	59.2	49.5	544.9
3rd quarter	355.1	83.0	42.9	34.3	5.8	5.5	110.0	59.7	50.3	553.7
4th quarter	356.4	86.9	43.9	35.1	7.9	7.1	109.6	58.7	50.8	560.0
1964[1] : 1st quarter	364.5	83.8	44.4	36.4	3.0	9.0	109.9	58.2	51.7	567.1
2nd quarter	369.8	85.2	43.9	36.8	4.5	8.1	112.8	59.9	52.9	575.9
3rd quarter	377.3	86.0	42.9	39.3	3.8	8.7	110.5	57.1	53.4	582.6
4th quarter	376.8	90.2	42.5	40.6	7.1	8.3	109.4	56.1	53.3	584.7
1965[1] : 1st quarter	385.9	94.7	43.4	42.7	8.6	6.0	110.9	56.4	54.5	597.5
2nd quarter	390.2	93.0	44.5	42.0	6.5	6.7	111.5	56.8	54.7	601.4
3rd quarter										609.1

1. Seasonally adjusted quarterly totals at annual rates.
Source: Department of Commerce.

TABLE II. PRODUCTION, EMPLOYMENT AND

	UNIT OR BASE	1962
Industrial Production (seasonally adjusted indices):		
1. Total index[1]	1957-59 = 100	118.3
3. Manufacturing, total		118.7
3. Durable manufactures[2]		117.9
4. Primary metals		104.6
5. Fabricated metals		117.1
6. Transportation equipment		118.3
7. Non-durable manufactures[2]		119.8
8. Food and beverages		113.5
9. Textile-mill products		115.2
10. Petroleum products		112.9
11. Mining		105.0
Manpower:		
12. Civilian labour force, total	thousands (monthly averages seasonally adjusted)	71854
13. Employed		67846
14. Unemployed		4007
15. Unemployment as per cent of civilian labour force (seasonally adjusted)	percentage	5.6
Manufacturers' new orders, net (seasonally adjusted)	$ billion (monthly averages)	33.17
16. Total		17.09
17. Durable goods industries		16.08
18. Non-durable goods industries		
Manufacturers' unfilled orders (seasonally adjusted)	$ billion (end of period)	
19. Total		46.78
20. Durable goods industries		44.09
21. Non-durable goods industries		2.69
22. Manufacturers' inventories (book value, seasonally adjusted)	$ billion (end of period)	57.75
Manufacturers' sales (seasonally adjusted)	$ billion (monthly averages)	
23. Total		33.31
24. Durable goods industries		17.18
25. Non-durable goods industries		16.12
Personal income (quarterly totals seasonally adjusted at annual rates):	$ billion	
26. Total		442.6
27. Wage and salary disbursements		296.1
28. Other labour income		13.9
29. Proprietors' income		50.1
30. of which: farm		13.0

1. This index includes utilities in addition to the major product groups shown separately.
2. These indices cover other products in addition to items 4-6 and 8-10.

Source: Department of Commerce, Department of Labour and Federal Reserve System.

OTHER BUSINESS INDICATORS

1963	1964	1964				1965		
		1st Qtr.	2nd Qtr.	3rd Qtr.	4th Qtr.	1st Qtr.	2nd Qtr.	3rd Qtr.
124.3	132.3			137.7	135.0	139.5	141.7	143.8
124.7	133.1			134.6	135.9	141.1	143.2	145.3
124.4	133.5			135.6	135.9	142.5	146.7	149.0
113.1	129.1			133.0	136.1	139.0	141.5	141.0
123.4	132.7			134.2	135.8	143.6	146.6	147.4
127.0	130.7			134.2	124.9	141.8	147.1	149.7
125.1	132.6			133.4	135.9	138.5	138.8	140.6
116.4	120.8			120.2	122.5	123.7	122.2	
117.1	125.2			123.7	128.9	131.7	131.9	
117.1	121.0			121.9	121.8	120.9	122.1	
107.8	111.3			112.0	112.4	112.0	114.0	115.5
72975	74233	73754	74506	74235	74458	74970	75499	75812
68809	70357	69735	70567	70471	70713	71341	71924	72448
4166	3876	4019	3939	3764	3745	3627	3575	3364
5.7	5.3	5.5	5.3	5.1	5.0	4.8	4.7	4.5
35.04	37.70	36.78	37.95	38.28	38.39	39.96	40.66	
18.30	19.80	19.50	20.14	20.17	19.93	21.37	21.45	
16.74	17.90	17.28	17.81	18.11	18.45	18.59	19.21	
49.80	57.04	50.70	52.83	54.45	56.49	58.02	59.86	
46.68	53.96	47.81	50.04	51.61	53.50	54.97	56.78	
3.12	3.09	2.89	2.80	2.85	2.99	3.06	3.07	
60.15	62.94	60.33	60.40	61.02	62.94	63.71	64.60	
34.77	37.13	36.38	37.05	37.47	37.88	39.29	39.94	
18.07	19.23	19.02	19.17	19.43	19.49	20.69	20.69	
16.70	17.90	17.36	17.88	18.04	18.39	18.60	19.24	
464.8	495.0	483.0	490.6	499.1	507.1	516.6	524.9	535.9
311.2	333.5	324.2	330.4	336.8	342.6	349.8	355.0	360.9
14.8	16.5	15.8	16.3	16.7	17.1	17.3	17.5	17.7
50.8	51.1	50.4	51.0	51.4	51.8	51.9	54.6	54.6
13.0	12.0	11.9	12.0	12.0	12.2	12.0	14.5	14.2

TABLE III. PRICES AND WAGES

	UNIT OR BASE	1964	1963	1964				1965		
				1ST QTR.	2ND QTR.	3RD QTR.	4TH QTR.	1ST QTR.	2ND QTR.	3RD QTR.
1. Average hourly gross earnings in all manufacturing industries	$ (monthly average)	2.46	2.53	2.51	2.53	2.54	2.56	2.59	2.61	2.61
2. Consumer price index (U.S. Department of Labor)	1957-59 = 100 (monthly average)	106.7	108.1	107.7	107.9	108.3	108.7	108.9	109.7	110.1
of which : 3. Food		105.1	106.4	105.8	105.8	107.1	106.9	106.7	108.4	
4. All items except food		107.4	108.9	108.5	108.7	108.9	109.4	109.8	110.2	
5. Services		113.0	115.2	114.3	114.9	115.4	116.0	116.8	117.5	
6. Wholesale price index	1957-50 = 100 (monthly average)	100.3	100.5	100.6	100.1	100.5	100.7	101.2	102.2	102.9
of which : 7. Farm products		95.7	94.3	95.3	93.8	94.4	93.5	94.3	99.1	99.5
8. Commodities other than farm products and foods		100.7	101.2	101.2	101.0	101.1	101.6	101.9	102.3	102.6

Source : Department of Labour.

TABLE IV. FEDERAL GOVERNMENT RECEIPTS AND EXPENDITURES, INCOME AND PRODUCT ACCOUNT 1959-64

CALENDAR YEAR BASIS; QUARTERS SEASONALLY ADJUSTED AT ANNUAL RATES

$ billion.

	1961	1962	1963	1964	1964				1965		
					1ST QTR.	2ND QTR.	3RD QTR.	4TH QTR.	1ST QTR.	2ND QTR.	3RD QTR.
Federal Government receipts	98.3	106.4	114.3	114.5	114.8	112.0	114.6	116.8	122.7	123.7	
— personal tax and non-tax receipts	44.7	48.6	51.5	48.6	50.2	46.5	48.1	49.8	53.5	54.6	
— corporate profit tax accruals	21.8	22.7	24.5	26.0	25.7	25.9	26.2	26.5	27.4	27.6	
— indirect business tax and non-tax accruals	13.6	14.6	15.3	16.1	15.6	16.0	16.4	16.4	16.8	16.3	
— contributions for social insurance	18.2	20.5	23.0	23.7	23.3	23.5	23.9	24.2	24.9	25.1	
Federal government expenditures	102.1	110.3	114.0	118.3	117.5	119.6	118.2	117.9	120.2	120.8	
— purchases of goods and services	57.4	63.4	64.4	65.3	65.0	67.0	64.9	64.3	64.9	65.9	
— transfer payments	27.0	27.7	29.2	29.9	30.3	29.8	29.7	29.8	31.2	30.5	
— grants-in-aid to State and Local Government	7.2	8.0	9.1	10.4	9.9	10.3	10.6	10.8	10.8	11.0	
— net interest paid	6.6	7.2	7.8	8.4	8.3	8.2	8.5	8.4	8.6	8.7	
— subsidies less current surplus of government enterprises	3.8	4.0	3.6	4.3	3.9	4.2	4.4	4.7	4.7	4.7	
Surplus (+) or deficit (—) on income and product account	—3.8	—3.8	0.3	—3.8	—2.6	—7.6	—3.6	—1.1	2.5	2.8	

Source: Department of Commerce.

TABLE V. FOREIGN TRADE AND PAYMENTS

	Unit or base	1962	1963	1964	1964				1965		
					1ST QTR.	2ND QTR.	3RD QTR.	4TH QTR.	1ST QTR.	2ND QTR.	3RD QTR.
1. Total gold stock	$ billion (end of period)	16.06	15.60	15.47	15.55	15.62	15.64	15.47	14.64	14.05	13.93
2. Short-term claims on foreigners	—	5.16	5.98	7.86	6.34	6.88	6.81	7.86	7.83	7.65	
3. Short-term liabilities to foreign countries reported by banks in the U.S.	—	19.87	21.33	23.87	21.17	21.37	22.34	23.87	23.21	22.89	
4. Volume of imports	1960 = 100	113	117	124	116	121	125	134			
5. Volume of exports	—	105	113	128	123	129	120	138			
6. Average value of imports	—	96	97	100	99	100	100	100			
7. Average value of exports	—	102	101	102	102	102	103	104			

Source: Department of Commerce.

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